



Voluntary Cost Savings Program

Frequently Asked Questions

GENERAL

- **Q1: What is a Voluntary Cost Savings Program?**

The Ohio Department of Administrative Services created the Voluntary Cost Savings (VCS) program as a tool for an appointing authority to reduce costs. A VCS program provides employees with the opportunity to reduce their schedule or be in a no pay status for a period of time without reducing certain benefits or requiring them to exhaust paid leave.

- **Q2: Does this FAQ apply to both exempt and bargaining unit employees?**

Generally, the VCS program for exempts and the VCS program for bargaining unit employees are implemented and operated similarly. There are a few distinctions between the two programs that are highlighted throughout this document.

- **Q3: What is the authority for the establishment of a VCS Program?**

Exempt employees: ORC 124.392 and OAC 123:1-34-10

OCSEA employees: Appendix R

1199 employees: Article 40

OEA employees: Appendix K

FOP employees: Appendix C

OSTA employees: Article 64

IMPLEMENTATION

- **Q4: How does an agency develop a VCS Program for its employees?**

EXEMPT EMPLOYEES: Prior to implementation, the agency must notify the DAS Office of Collective Bargaining Labor Relations and Human Resources Policy section of its intent to establish and implement a VCS program. The notice can be sent to the agency's assigned policy analyst. This notice must include: 1) which leave options the agency will offer to its employees; 2) a description of the program's compliance with OAC 123:1-34-10; 3) the approximate number of employees eligible to participate in the program; 4) a copy of the proposed program agreement; and 5) the anticipated duration and availability of the proposed program.

BARGAINING UNIT EMPLOYEES: Agencies seeking to establish and implement a VCS program that covers eligible bargaining unit employees must also meet with their agency labor-management committee to discuss their intent. Agencies should contact OCB prior to discussing the program with the union. After implementation, the application of the program will continue to be monitored via the LMC meetings as needed.

- **Q5: What program options are available to the appointing authority?**

EXEMPT EMPLOYEES: An appointing authority may propose a program that 1) allows full-time permanent employees to reduce their hours worked by 8-40 hours per pay period (up to 520 hours or for a total of 6 months, whichever occurs first), 2) allows full-time or part-time permanent employees to take unpaid leaves of absence for 2-13 week periods, and/or 3) allows full-time or part-time permanent employees to be credited with 40 or 80 voluntary cost savings hours per fiscal year based upon an equivalent bi-weekly reduction in the employee's paycheck.

BARGAINING UNIT EMPLOYEES: VCS programs that cover bargaining unit employees must offer all three options as outlined in the collective bargaining agreements.



ELIGIBILITY

- **Q6: Who is eligible to participate in the VCS Program?**

EXEMPT EMPLOYEES: Full-time or part-time permanent employees who are paid by warrant of the Director of the Office of Budget and Management and have successfully completed an initial or promotional probationary period may be eligible to participate in the program.

BARGAINING UNIT EMPLOYEES: Full-time, part-time, and established-term bargaining unit employees may be eligible and must have successfully completed an initial probationary period. Eligibility varies based on the option selected by the employee. See the applicable collective bargaining agreements for more information.

- **Q7: Can an agency require an employee to participate in the VCS Program?**

No, participation in the VCS program is strictly voluntary.

EMPLOYEE REQUESTS

- **Q8: How does an employee request participation in a VCS program?**

Employees must complete the agency's "Voluntary Cost Savings Plan Agreement" form and submit the signed form to their appointing authority at least 30 days prior to the commencement of the leave or the reduction in hours. The appointing authority may authorize a minimum of fewer than 30 days advanced notice in the agency policy on this matter or on a case-by-case basis.

NOTE: The applicable collective bargaining agreements do not specify timeframes for the request or the approval. However, because Option #3 requires payment be deducted from participants' bi-weekly paychecks over the course of an entire fiscal year in an amount proportionate to the number of hours of voluntary cost savings hours chosen to be received, employees choosing Option #3 must request usage of voluntary cost savings hours on or before June 1 for the following fiscal year. Agencies must coordinate with DAS SHRD HCM Benefits and Payroll to ensure employees who select Option #3 are enrolled in a cost savings day leave program and have the appropriate payroll deductions created. A deduction code of VCSD40 or VCSD80 will be added by the agency payroll officer based on employee selection of 40 hours or 80 hours. Enrollment in the program must be processed by DAS SHRM HCM benefits.

- **Q9: Do employees have to exhaust their leave balances prior to participating in a VCS program?**

No, employees are not required to exhaust their accrued leave balances prior to reducing their work hours and/or using leave without pay.

- **Q10: Who is responsible for reviewing and approving the VCS program participation request?**

The appointing authority shall review the request and notify the requesting employee of the status of the request no later than 7 calendar days before the date of the leave of absence or the implementation of the reduced schedule.

NOTE: The applicable collective bargaining agreements do not specify timeframes for the request or the approval.

- **Q11: Will a personnel action form need to be completed?**

An ePar will only need to be completed for those employees granted an unpaid leave of absence pursuant to the program. Agencies should use the PLA/VCS action reason code for these employees. An ePAR will **not** need to be completed for employees who receive credit of 40 or 80 hours of voluntary cost savings time during the course of a fiscal year or who reduce their hours worked pursuant to the program; however, any set schedules in KRONOS may need to be modified accordingly.

- **Q12: Will an employee's VCS program participation need to be noted on their history screen?**

If an employee is granted an unpaid leave of absence pursuant to the program, the leave will be noted on the employee's Job Data record, along with the beginning and ending dates of the leave, when the ePAR is processed. Employees who reduce their hours worked pursuant to the program or who receive credit of 40 or 80 hours of voluntary cost savings time during the course of a fiscal year will not have a notation on their Job Data record.

- **Q13: Must an employee justify their use of the VCS program?**

No, in reviewing an employee's request for VCS leave, the appointing authority should consider only the fiscal and operational needs of the work unit or other parts of the agency and the impact the leave will have on that work unit or other parts of the agency.

- **Q14: May employees grieve or appeal the denial of a VCS program participation request?**

No, VCS denials are neither grievable nor appealable.

- **Q15: Who develops the employee's new work schedule? Who performs the duties of the employee who is participating in a VCS program?**

The new schedule is proposed by the employee and reviewed/approved by the immediate supervisor and should not result in overtime or other additional expenses. The employee's duties are distributed among those within the appropriate classification and pursuant to applicable collective bargaining provisions.

BENEFITS WHILE PARTICIPATING IN A VCS PROGRAM

- **Q16: Does participation in a VCS program affect an employee's retirement benefits? Does the employee continue to receive OPERS service credit?**

As is the case with other unpaid leaves of absence, if the VCS leave occurs during the years used to calculate an employee's final average salary, the employee's earnings are reduced, thereby resulting in a reduction in the employee's retirement contributions for OPERS. So long as the employee continues to possess the minimum monthly earnable salary established by OPERS, the employee will receive a full year of service credit. An employee who is enrolled in a retirement system other than OPERS should consult their retirement system to determine the potential effects that participation in a VCS program may have on their retirement benefits.

- **Q17: Does participation in a VCS program affect an employee's health insurance benefits?**

Full-time employees who reduce their hours worked shall maintain full-time status for purposes of health care coverage, benefits and premiums. Part-time employees who reduce their hours worked may be affected by participation in a VCS program, since a part-time employee's benefit tier level is calculated on the basis of the average number of hours the employee worked.

Employees who participate in any of the VCS program options are responsible for their share of premiums for all insurance programs in which the employee is enrolled at the time of leave. Employees who participate in Option #2 may need to establish a payment plan with the agency prior to beginning the leave of absence. The repayment will commence via payroll deductions when the VCS program leave expires so that they are taxed and reported appropriately; no direct payments will be accepted. Under any of the options, the state shall maintain the employer's share of the premiums during utilization of the program. If an employee does not return to work, arrears could possibly be deducted from certain remaining leave accruals. In this situation, agency human resources should contact DAS HR Operations to discuss possible options.

- **Q18: Does participation in a VCS program affect an employee's participation in a flexible spending account?**

For employees participating in the reduction in hours option or who are credited with 40 or 80 hours of voluntary cost savings time during the course of a fiscal year, there is no impact on an employee's participation in a flexible spending account.

For employees participating in the unpaid leave of absence option, action will need to be taken as outlined below:

Health Care Spending Account (HCSA)/Limited Purpose Flexible Spending Account (LPFSA)/Dependent Care Spending Account (DCSA) By taking an unpaid leave of absence or experiencing changes due to cost or coverage changes, the employee is considered to have experienced a qualified life event and must complete the Enrollment/Change form, located on the benefits website, within 31 days of the qualifying event. The employee may either: 1) terminate participation and have access to the available contributed funds to seek reimbursement of and expenses incurred through the end of the month of termination (no expenses incurred after the end of the month of termination may be submitted for reimbursement); or 2) catch up payments upon return to work. Should the employee go three pay periods without a deduction, the account will be terminated after the third pay period without a deduction.

- **Q19: Is an employee's continuous service time or retention points/seniority affected by participation in a VCS program?**

No, full-time employees who reduce their hours worked or who are credited with 40 or 80 hours of voluntary cost savings time during the course of a fiscal year do not incur a break in service and will be treated in accordance with the employee's regular appointment type for purposes of calculating retention points. Employees who take an unpaid leave of absence do not incur a break in service and will also have their retention points calculated in accordance with the employee's regular appointment type as long as the employee returns to employment. Bargaining unit employees will not experience a break in seniority as long as they return to employment.

- **Q20: Is an employee's leave accrual affected by participation in a VCS program?**

No, an employee's leave accrual is not impacted by the employee's participation in a VCS program.

- **Q21: Does the employee's participation in a VCS program affect his/her eligibility to receive holiday pay?**

No, employees who use VCS leave on a workday immediately preceding a holiday are eligible to receive holiday pay.

- **Q22: Who is responsible for ensuring an employee's deductions are made while the employee is participating in a VCS program (e.g., health insurance, credit union, supplemental life insurance, garnishments, etc.)**

It is the employee's responsibility to make arrangements for any deductions from their paychecks.

- **Q23: Are employees who participate in a VCS program eligible for unemployment compensation?**

No, VCS is a voluntary program. As such, employees do not meet the eligibility requirements for unemployment compensation.

- **Q24: Does an employee's participation in VCS affect his/her eligibility for FMLA leave in a calendar year?**

An employee must work 1,250 hours per calendar year in order to be eligible for FMLA leave. An employee's hours spent participating in VCS will not count towards the required 1,250 hours worked.

- **Q25: Can a person participating in a VCS program take advantage of open enrollment?**

Yes, employees utilizing VCS leave may make changes to their insurance during open enrollment.

TERMINATION

- **Q26: May an employee or agency terminate an employee's participation in a VCS program?**

An employee or an agency may terminate an employee's VCS program agreement by providing 10 working days' notice in writing to the other party.

- **Q27: What if an employee is injured or becomes ill while participating in a VCS program?**

An employee maintains their right to cancel VCS leave and use other appropriate leave programs such as FMLA, sick leave, disability, etc., if they meet the eligibility pursuant to these program guidelines.

- **Q28: Once an agency offers a VCS Program to its employees, are they entitled to terminate the program?**

Yes, the appointing authority can withdraw the program options available to employees. Programs covering bargaining unit employees require 30-days advance notice to the applicable union prior to such termination.

MISCELLANEOUS

- **Q29: Is there an Option #4?**

Yes, labor management committees are able to explore other cost savings measures. Implementation of additional cost savings measures should be discussed with your OCB policy analyst to determine if a letter of agreement is necessary prior to implementation.

- **Q30: Where does the saved money go?**

The money saved is kept at the agency and the appointing authority or designee determines how the savings are distributed.

- **Q31: Can an employee on non-VCS unpaid leave participate in a VCS program a few hours a pay period to sustain insurance?**

No, the intent of the VCS program is to generate savings. Using VCS leave in this manner would increase costs. Additionally, the purpose of the leave is not to allow employees to use VCS leave instead of using more appropriate leave.

- **Q32: Does participation in a VCS program extend an employee's probationary period?**

EXEMPT EMPLOYEES: Exempt employees are not eligible to participate in a VCS program until they have successfully completed their initial or promotional probationary period.

BARGAINING UNIT EMPLOYEES: Bargaining unit employees are not eligible to participate in a VCS program until they have successfully completed their initial probationary period. For other probationary periods (i.e., promotional), if the employee's absence is fourteen consecutive days or longer, the agency can extend the employee's probationary period by a period equal to the employee's leave.

- **Q33: Does participation in a VCS program affect an employee's discipline retention schedule?**

Yes, leave of absences greater than 14 consecutive days may extend the length of time disciplinary actions may be retained in an employee's personnel file pursuant to section 123:1-46-07 of the Administrative Code and applicable sections of the collective bargaining agreements.

- **Q34: If an employee is out for a VCS leave of absence in excess of 30 days, does this impact the employee's continuous state service?**

An employee is entitled to be credited with state service time for the entire period the employee spends on an approved VCS leave of absence, so long as the employee returns to employment.

- **Q35: Can an employee apply for job openings while participating in a VCS program?**

Yes. However, it is not the employer's responsibility to notify employees on leave of job openings.

- **Q36: Can an employee use VCS leave during the waiting period for disability leave?**

No. VCS leave cannot be used during the waiting period for disability leave.

- **Q37: What should happen under Option #3 if an employee separates from state service or transfers between state agencies during the fiscal year?**

Under Option #3, if an employee separates from state service or transfers between state agencies during the fiscal year, the employee will receive payment for the amount of money that has been deducted less the cost of the time used. If the employee used more time than deducted, the employee's final paycheck will be adjusted to balance out the excess hours taken.

- **Q38: What should happen under Option #3 if an employee fails to use all of his or her VCS leave through no fault of the agency?**

Under Option #3, if an employee fails to use all of his or her VCS leave during the fiscal year for which it was requested through no fault of the agency, the employee's remaining balance of VCS hours will be forfeited at the end of the fiscal year. If the employee then requests usage of Option #3 hours for the following fiscal year, no VCS hours will carry over. The employee will start the new fiscal year with a new balance of 40 or 80 VCS hours if the employee submits and receives approval for a new fiscal year request.

If you have additional questions related to the implementation or use of a Voluntary Cost Savings Program, please do not hesitate to contact the Office of HRD/OCB Policy at (614) 752-5393.